

Investment Credit Memorandum

Northbridge CLO 2024-1 | Apex Industrial Holdings | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$7,200,000 allocation of the Apex Industrial Holdings first-lien term loan into the Northbridge CLO 2024-1 warehouse, and to roll that position into the CLO at closing. The borrower is Apex Industrial Holdings, headquartered in Chicago. The financial sponsor is Lakeside Private Equity. Analyst: Marcus Chen. Committee chair: David Okonkwo. Portfolio manager: Priya Raman, Meridian Credit Partners LLC.

Recommendation: Approve at a maximum par of \$7,200,000 (1.82% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Northbridge CLO 2024-1 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Apex Industrial Holdings operates in Capital Equipment. The company is owned by Lakeside Private Equity. Neither the sponsor nor the borrower is affiliated with Meridian Credit Partners LLC.

Related book names in Northbridge CLO 2024-1 include Helios Telecom, Inc., Redwood Packaging LLC. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Apex Industrial Holdings first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Bridgeport Bank is the warehouse lender to Northbridge CLO 2024-1.

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4. Credit highlights and risks

Highlights: sponsor support from Lakeside Private Equity, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicalities in Capital Equipment and add-on acquisition risk. Marcus Chen confirmed that Moody's industry classification for Apex Industrial Holdings is 'Capital Equipment'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.82 of the 2.00 percentage-point largest-obligor covenant. Priya Raman confirmed the trade for Northbridge CLO 2024-1.

If Apex Industrial Holdings is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Northbridge CLO 2024-1 indenture. Harbor Trust Company, N.A. would reflect that classification on the next monthly trustee report. Meridian Credit Partners LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Meridian Credit Partners LLC approved the \$7,200,000 purchase for the Northbridge CLO 2024-1 warehouse on 4 March 2024. Voting members: David Okonkwo (chair), Priya Raman, and Marcus Chen. The trade will settle into the Bridgeport Bank warehouse and be conveyed to Northbridge CLO 2024-1, Ltd. on the closing date of 28 March 2024.